

Checklist

Engineering Executive: Participating in Mergers & Acquisitions (M&A)

Establish Business Strategy (Before Evaluating Any Deal)

Clarify how M&A supports the company's strategy

- ☐ Are our business lines clearly defined?
- ☐ What are revenue and cash-flow expectations per line?
- ☐ What role should M&A play?
 - ☐ Accelerate growth
 - ☐ Enter new markets
 - ☐ Acquire
 - ☐ Reduce competition
 - ☐ Other
- ☐ Are we pursuing:
 - ☐ Acquires (talent)
 - ☐ Product acquisitions
 - ☐ Full business acquisitions
- ☐ What deal sizes/stages are acceptable?
- ☐ Is this written down and aligned with the executive team?

Define the Acquisition Thesis (Deal-Specific)

What must be true for this deal to make sense?

- ☐ How exactly does this acquisition fit our strategy?
- ☐ Is this about time-to-market acceleration?
- ☐ Is this a permanent product pillar or an interim solution?
- ☐ What assumptions must hold true for the deal to succeed?
- ☐ Have we documented those assumptions explicitly?
- ☐ Does the valuation reflect integration cost and risk (not just upside)?

Engineering Evaluation

A. Product Implementation

- ☐ Is the implementation real and production-grade?
- ☐ Is it first-party IP, or is it primarily built on third-party APIs?
- ☐ Have we reviewed the actual source code?
- ☐ Is architecture scalable and maintainable?
- ☐ Are there hidden technical shortcuts or fragile systems?

B. Intellectual Property

- ☐ Do claimed patents/IP actually exist?
- ☐ Does the company truly own its core IP?
- ☐ Are there licensing risks?
- ☐ Have engineers validated the technical substance behind the IP?

C. Security

- ☐ Who owns security?
- ☐ Are regular penetration tests conducted?
- ☐ When was the last test? What were the findings?
- ☐ Is there employee security training?
- ☐ Have there been breaches?
- ☐ How would they detect a breach?
- ☐ Is sensitive data handled properly?

D. Compliance

- ☐ What certifications exist? (SOC 2 Type II, HIPAA, HITRUST, etc.)
- ☐ Are audit reports available for the last 2–3 years?
- ☐ Are controls actually operational?
- ☐ Are there compliance gaps that affect valuation?

E. Integration Mismatches

- ☐ What is their cloud vendor? (AWS, GCP, Azure, on-prem)
- ☐ What is their core tech stack?
- ☐ How different is it from ours?
- ☐ Are there long-term vendor contracts?
- ☐ How painful would stack consolidation be?
- ☐ Would separate stacks create long-term subcultures?

F. Costs & Scalability

- ☐ What are the total Engineering costs over time?
- ☐ What does it cost to generate each dollar of revenue?
- ☐ Are there economies or dysfunctions of scale?
- ☐ How scalable is infrastructure?
- ☐ Can the product scale without a rewrite?
- ☐ Have Finance + Engineering modeled long-term cost structure?

G. Engineering Culture

- ☐ How are technical decisions made?
- ☐ How are teams structured?
- ☐ Is decision-making centralized or distributed?
- ☐ Who are the real influencers?
- ☐ How compatible are operating models?
- ☐ Is friction manageable?

Process Discipline

- ☐ Do we use a standard Engineering evaluation template?
- ☐ Did we customize it to this deal's thesis?
- ☐ Did we request documentation in advance?
- ☐ Did we limit meetings to high-value sessions?
- ☐ Did we validate or invalidate key assumptions?
- ☐ Did we sync clearly with Finance and Legal before the recommendation?

Integration Plan (Before Closing)

Baseline Integration Approach

- ☐ Will we run the acquired stack "as-is" initially? (e.g., 6 months)
- ☐ Do we have a consolidation timeline?
- ☐ Are integration risks documented?

Technology Integration

- ☐ Full rewrite?
- ☐ API integration?
- ☐ Temporary coexistence?
- ☐ Long-term multi-stack tolerance?
- ☐ Does this align with our Engineering strategy?

Team Integration

- ☐ Where does the acquired Head of Engineering report?
- ☐ Are teams merged or kept separate?
- ☐ Is infrastructure/security/data centralized?
- ☐ Is role clarity communicated early?

Leadership Integration

- ☐ Are senior leaders' roles defined?
- ☐ Have we aligned expectations privately?
- ☐ Are we setting up new leaders for success?
- ☐ Are we protecting the morale of existing teams?

Executive Judgment & Dissent

- ☐ Have I clearly articulated risks from a company perspective (not just Engineering)?
- ☐ Have I separated emotional resistance from real risk?
- ☐ If overruled, did I document concerns professionally?
- ☐ Am I confident we're not falling into sunk-cost bias?

If You Are Being Acquired

- ☐ Do we understand the acquirer's view of the deal? (business, product, acquire)
- ☐ Have we protected team compensation packages?
- ☐ Have we clarified reporting lines?
- ☐ Is there a meaningful role for me?
- ☐ If required to stay, is compensation appropriate?
- ☐ Have we helped the team prepare for transition?

Final Sanity Check

Before recommending "yes":

- ☐ Does this acquisition clearly advance our strategy?
- ☐ Are integration costs realistic?
- ☐ Are the biggest risks known and manageable?

☐ Would I still approve this deal if I had to personally run the integration?